

## Amazon.com, Inc.

AMZN | \$3073.28

**Outperform | TARGET PRICE: \$3600.00 (from \$3250.00)**

### Earnings Report

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#### Company Statistics

|                           |                         |
|---------------------------|-------------------------|
| Market Capitalization (B) | \$1,513                 |
| Enterprise Value (B)      | \$1,573                 |
| Average 10-Day Volume (M) | 5,055                   |
| 52-Week Range             | \$1,626.03 - \$3,344.29 |
| Fiscal Year End           | Dec                     |

#### Earnings Summary

|             | 2019     | 2020E    | 2021E    |
|-------------|----------|----------|----------|
| Revenue (B) | \$281    | \$370    | \$439    |
| EBITDA (M)  | \$36,329 | \$43,474 | \$56,081 |
| EPS         | \$23.0   | \$29.9   | \$41.3   |

#### 1 Year Price History



Source: FactSet

## A Prime Example of Market Leadership

While it was no secret that COVID has accelerated e-commerce adoption, Amazon's 2Q earnings, 3Q outlook, and 2H20 investment plans indicate that the company is confident that these tailwinds will remain firmly in place for the foreseeable future. 2Q total revenue growth of 40% was likely in line with buy-side boogies. However, 3Q revenue guidance of 33% growth at the high end is meaningfully ahead of consensus at 22%. Notably, accelerating Prime user growth in both US and international markets will likely allow the COVID demand benefits to sustain well beyond the lockdown provisions associated with the virus. As important, 2Q OI \$5.8bn was meaningfully ahead of expectations, and excluding the incremental COVID costs of >\$4bn, Amazon flashed aggregate OI margins >11%. While 3Q OI guidance doesn't expect these margins to sustain, as Amazon expands its delivery footprint by 50% YoY in 2020. However, while we harbored concerns around OI guidance that would drive down estimates, 3Q guidance of \$5bn at the high end is meaningfully ahead of the Street at \$3.1bn. All in, our 2021 OI estimate move higher from \$24.7bn to \$27.1bn driving out Target Price higher to \$3,600 from \$3,250.

**Prime membership trends allowing Amazon to drive long-term benefits from the current e-commerce environment.** In the quarter, Amazon spoke to accelerating Prime membership growth as well as improving retention. COVID is clearly driving a massive pull-forward in e-commerce demand, and Amazon is ensuring that this incremental demand proves sticky by locking shoppers into the Prime ecosystem. We believe that this trend is particularly impactful in international markets (where e-commerce is less mature), yet also matters domestically as U.S. Prime membership growth has slowed as penetration approaches ~60%. We believe that these sustainable Prime tailwinds are a key source of 3Q revenue guidance of 33% at the high end, meaningfully ahead of the Street at 23%.

**2020 footprint expansion plans indicate extremely impressive demand dynamics, even pre-COVID.** In our view, the easiest Amazon investments for investors to underwrite are those made into physical infrastructure, given the company's understanding of its underlying demand trends. Thus, Amazon's plan to accelerate its commerce infrastructure square footage by 50% in 2020 should screen bullish. Particularly given the fact that the vast majority of this square footage expansion was planned before the pandemic.

**3Q OI guidance suggests substantial underlying leverage even in the face of robust footprint growth.** Even with a large portion of that 50% footprint growth coming online in the 3Q, OI guidance \$2-5bn is above the Street at the high end and indicates impressive fixed cost leverage. In this robust demand environment, Amazon looks to be successfully leveraging much of the one-day expenses that it put in place in 2019.

**AWS revenue a little light, but we remain focused on extremely impressive backlog growth.** 2Q AWS revenue growth of 29% was below the Street at >31%. That said, with customer accelerating their move to the cloud in the face of COVID, backlog growth accelerated 65% YoY growth, the fastest growth in five quarters by >700bps. We continue to point these long-term commitments as proof that bear thesis of Azure eating AWS's lunch in the enterprise is misguided.

**Amazon appears to have been 100%+ of retail growth in 2Q, approaching GMV market share of 8%, a clear #2 to Walmart a year earlier than expected.** We estimate that U.S. GMV increased \$15-18bn in Q2. This implies Amazon was more than 100% of U.S. total Retail Sales \$ growth (up 1.3%) during 2Q, confirming Amazon's massive share gain during Q2 as many retailers had to close their stores during much of 2Q. Amazon's GMV share of 8% is getting close to Walmart's 10%, a year earlier than we had previously forecasted.

**Figure 1: Actual vs Estimates Summary**

*\$mns except per share data*

|                                            | Yr Ago<br>2Q19  | Qtr Ago<br>1Q20  | Actual<br>2Q20  | Estimate<br>2Q20 | Δ                | QoQ             | YoY             |
|--------------------------------------------|-----------------|------------------|-----------------|------------------|------------------|-----------------|-----------------|
| <b>GEOGRAPHIC SPLITS</b>                   |                 |                  |                 |                  |                  |                 |                 |
| Total North America                        | \$38,653        | \$46,127         | \$55,436        | \$52,182         | \$3,254          | 20.2%           | 43.4%           |
| Total International                        | 16,370          | 19,106           | 22,668          | 19,644           | 3,024            | 18.6%           | 38.5%           |
| AWS                                        | 8,381           | 10,219           | 10,808          | 11,060           | (252)            | 5.8%            | 29.0%           |
| <b>TOTAL NET SALES</b>                     | <b>\$63,404</b> | <b>\$75,452</b>  | <b>\$88,912</b> | <b>\$82,885</b>  | <b>\$6,027</b>   | <b>17.8%</b>    | <b>40.2%</b>    |
| <b>SEGMENT SPLITS</b>                      |                 |                  |                 |                  |                  |                 |                 |
| Online Stores                              | \$31,053        | \$36,652         | \$45,896        | \$41,335         | \$4,561          | 25.2%           | 47.8%           |
| Physical Stores                            | 4,330           | 4,640            | 3,774           | 4,460            | (686)            | N/M             | N/A             |
| 3P Seller Services                         | 11,962          | 14,479           | 18,195          | 16,088           | 2,107            | 25.7%           | 52.1%           |
| Subscription services                      | 4,676           | 5,556            | 6,018           | 5,785            | 233              | 8.3%            | 28.7%           |
| AWS                                        | 8,381           | 10,219           | 10,808          | 11,060           | (252)            | 5.8%            | 29.0%           |
| Other (advertising & co-branded card, etc) | 3,002           | 3,906            | 4,221           | 4,158            | 63               | 8.1%            | 40.6%           |
| <b>PROFITABILITY</b>                       |                 |                  |                 |                  |                  |                 |                 |
| <b>Total Gross Profit</b>                  | <b>\$27,110</b> | <b>\$31,236</b>  | <b>\$36,328</b> | <b>\$32,325</b>  | <b>\$4,003</b>   | <b>16.3%</b>    | <b>34.0%</b>    |
| Gross Margin %                             | 42.8%           | 41.4%            | 40.9%           | 39.0%            | 186 bps          | (54 bps)        | (190 bps)       |
| <b>North America</b>                       |                 |                  |                 |                  |                  |                 |                 |
| Operating Income                           | \$1,564         | \$1,312          | \$2,141         | (\$391)          | \$2,532          | 63.2%           | 36.9%           |
| Operating Margin                           | 4.0%            | 2.8%             | 3.9%            | (0.8%)           | 461 bps          | 102 bps         | (18 bps)        |
| <b>International</b>                       |                 |                  |                 |                  |                  |                 |                 |
| Operating Income                           | (\$601)         | (\$398)          | \$345           | (\$2,371)        | \$2,716          | (186.7%)        | (157.4%)        |
| Operating Margin                           | (3.7%)          | (2.1%)           | 1.5%            | (12.1%)          | 1359 bps         | 361 bps         | 519 bps         |
| <b>AWS</b>                                 |                 |                  |                 |                  |                  |                 |                 |
| Operating Income                           | \$2,121         | \$3,075          | \$3,357         | \$3,296          | \$61             | 9.2%            | 58.3%           |
| Operating Margin                           | 25.3%           | 30.1%            | 31.1%           | 29.8%            | 126 bps          | 97 bps          | 575 bps         |
| <b>Total Adj. operating expenses</b>       | <b>\$24,026</b> | <b>\$27,247</b>  | <b>\$30,485</b> | <b>\$31,792</b>  | <b>(\$1,307)</b> | <b>11.9%</b>    | <b>26.9%</b>    |
| <b>Operating Income</b>                    | <b>\$3,084</b>  | <b>\$3,989</b>   | <b>\$5,843</b>  | <b>\$533</b>     | <b>\$5,310</b>   | <b>46.5%</b>    | <b>89.5%</b>    |
| Op Margin                                  | 4.9%            | 5.3%             | 6.6%            | 0.6%             | 593 bps          | 128 bps         | 171 bps         |
| <b>Diluted EPS</b>                         | <b>\$5.22</b>   | <b>\$5.01</b>    | <b>\$10.30</b>  | <b>\$0.63</b>    | <b>\$9.67</b>    | <b>105.6%</b>   | <b>97.4%</b>    |
| <b>Cash Flow</b>                           |                 |                  |                 |                  |                  |                 |                 |
| CapEx                                      | \$3,562         | \$6,795          | \$7,459         | \$4,973          | \$2,486          | 9.8%            | 109.4%          |
| <b>FCF</b>                                 | <b>\$6,475</b>  | <b>(\$2,364)</b> | <b>\$13,991</b> | <b>\$7,290</b>   | <b>\$6,701</b>   | <b>(691.8%)</b> | <b>116.1%</b>   |
| <b>Paid Unit Growth</b>                    | <b>18.0%</b>    | <b>32.0%</b>     | <b>57.0%</b>    | <b>32.9%</b>     | <b>2410 bps</b>  | <b>2500 bps</b> | <b>3900 bps</b> |
| Shipping costs                             | \$8,134         | \$10,936         | \$13,652        | \$9,906          | \$3,746          | 24.8%           | 67.8%           |

Source: Company Data, Evercore ISI Research

**Figure 2: Model Change Summary**

\$mns except per share data

|                                        | 09/20E           |                  |               | 2020E            |                  |                 | 2021E            |                  |                 | 2022E            |                  |                 |
|----------------------------------------|------------------|------------------|---------------|------------------|------------------|-----------------|------------------|------------------|-----------------|------------------|------------------|-----------------|
|                                        | Current          | Prior            | Δ             | Current          | Prior            | Δ               | Current          | Prior            | Δ               | Current          | Prior            | Δ               |
| <b>Revenue (Geos)</b>                  |                  |                  |               |                  |                  |                 |                  |                  |                 |                  |                  |                 |
| Total North America                    | \$46,127         | \$46,127         | \$0           | \$228,895        | \$216,010        | \$12,885        | \$270,096        | \$254,892        | \$15,205        | \$310,611        | \$293,126        | \$17,485        |
| Total International                    | 19,106           | 19,106           | 0             | 96,226           | 86,457           | 9,769           | 113,547          | 97,020           | 16,526          | 132,963          | 111,494          | 21,469          |
| AWS                                    | 10,219           | 10,219           | 0             | 45,256           | 46,056           | (800)           | 55,845           | 57,951           | (2,105)         | 68,894           | 72,550           | (3,656)         |
| <b>Total Revenue</b>                   | <b>\$75,452</b>  | <b>\$75,452</b>  | <b>\$0</b>    | <b>\$370,377</b> | <b>\$348,523</b> | <b>\$21,854</b> | <b>\$439,489</b> | <b>\$409,863</b> | <b>\$29,626</b> | <b>\$512,468</b> | <b>\$477,170</b> | <b>\$35,298</b> |
| % Growth                               | 26.4%            | 26.4%            | bps           | 32.0%            | 24.2%            | 779bps          | 18.7%            | 17.6%            | 106bps          | 16.6%            | 16.4%            | 18bps           |
| <b>Revenue (Segments)</b>              |                  |                  |               |                  |                  |                 |                  |                  |                 |                  |                  |                 |
| Online Stores                          | \$36,652         | \$36,652         | \$0           | \$189,156        | \$171,772        | \$17,383        | \$214,031        | \$192,012        | \$22,019        | \$234,016        | \$210,849        | \$23,167        |
| Physical Stores                        | 4,640            | 4,640            | 0             | 16,969           | 17,655           | (686)           | 17,139           | 17,831           | (693)           | 17,310           | 18,010           | (700)           |
| 3P Seller Services                     | 14,479           | 14,479           | 0             | 75,086           | 69,426           | 5,660           | 96,110           | 85,880           | 10,231          | 120,330          | 104,198          | 16,132          |
| Subscription services                  | 5,556            | 5,556            | 0             | 23,835           | 23,602           | 233             | 28,184           | 28,184           | 0               | 32,934           | 32,934           | 0               |
| AWS                                    | 10,219           | 10,219           | 0             | 45,256           | 46,056           | (800)           | 55,845           | 57,951           | (2,105)         | 68,894           | 72,550           | (3,656)         |
| Other (advertising & co-branded card,) | 3,906            | 3,906            | 0             | 20,075           | 20,012           | 63              | 28,179           | 28,005           | 174             | 38,984           | 38,630           | 354             |
| <b>GAAP Operating Income</b>           |                  |                  |               |                  |                  |                 |                  |                  |                 |                  |                  |                 |
| Total North America                    | \$1,312          | \$1,312          | \$0           | \$7,543          | \$4,967          | \$2,576         | \$8,103          | \$7,647          | \$456           | \$11,803         | \$11,139         | \$664           |
| Total International                    | (398)            | (398)            | 0             | (1,758)          | (5,588)          | 3,830           | 1,054            | (1,379)          | 2,433           | 2,238            | (1,366)          | 3,604           |
| AWS                                    | 3,075            | 3,075            | 0             | 13,643           | 13,745           | (102)           | 17,952           | 18,454           | (502)           | 23,525           | 24,554           | (1,029)         |
| <b>GAAP Operating Income</b>           | <b>\$3,989</b>   | <b>\$3,989</b>   | <b>\$0</b>    | <b>\$19,429</b>  | <b>\$13,124</b>  | <b>\$6,304</b>  | <b>\$27,109</b>  | <b>\$24,722</b>  | <b>\$2,387</b>  | <b>\$37,566</b>  | <b>\$34,326</b>  | <b>\$3,239</b>  |
| Margin                                 | 5.3%             | 5.3%             | bps           | 5.2%             | 3.8%             | 148bps          | 6.2%             | 6.0%             | 14bps           | 7.3%             | 7.2%             | 14bps           |
| <b>GAAP EPS</b>                        | <b>\$5.01</b>    | <b>\$5.01</b>    | <b>\$0.00</b> | <b>\$29.91</b>   | <b>\$18.72</b>   | <b>\$11.19</b>  | <b>\$41.32</b>   | <b>\$37.09</b>   | <b>\$4.23</b>   | <b>\$57.20</b>   | <b>\$51.41</b>   | <b>\$5.79</b>   |
| <b>Cash Flow</b>                       |                  |                  |               |                  |                  |                 |                  |                  |                 |                  |                  |                 |
| Capex                                  | \$6,795          | \$6,795          | \$0           | \$30,735         | \$23,179         | \$7,556         | \$26,369         | \$24,592         | \$1,778         | \$30,748         | \$28,630         | \$2,118         |
| <b>Free Cash Flow</b>                  | <b>(\$2,364)</b> | <b>(\$2,364)</b> | <b>\$0</b>    | <b>\$24,242</b>  | <b>\$25,147</b>  | <b>(\$905)</b>  | <b>\$43,674</b>  | <b>\$40,396</b>  | <b>\$3,278</b>  | <b>\$58,485</b>  | <b>\$54,756</b>  | <b>\$3,730</b>  |

Source: Company Data, Evercore ISI Research

**Figure 3: SOTP Valuation Summary**

\$mns

| 2021E Amazon Geographic SOTP EBITDA Analysis |                 |                |                 |                    |
|----------------------------------------------|-----------------|----------------|-----------------|--------------------|
|                                              | North America   | International  | AWS             | Consolidated Total |
| Valuation Methodology                        | EBITDA Multiple | Sales Multiple | EBITDA Multiple |                    |
| 2021E Revenue (\$mn)                         | \$270,096       | \$113,547      | \$55,845        | \$439,489          |
| EBITDA margin                                | 6.9%            | 4.4%           | 58.2%           | 12.8%              |
| 2021E EBITDA (\$mn)                          | 18,641          | 4,940          | 32,500          | 56,081             |
| Multiple                                     | 41.2x           | 2.3x           | 28.5x           | 35.0x              |
| Enterprise Value (\$mn)                      | \$768,191       | \$266,572      | \$926,252       | \$1,961,015        |
| <b>2021E Value / Share</b>                   | <b>\$1,410</b>  | <b>\$489</b>   | <b>\$1,700</b>  | <b>\$3,600</b>     |
| Less: Debt (\$mn)                            |                 |                |                 | \$33,128           |
| Plus: Cash (\$mn)                            |                 |                |                 | \$101,515          |
| Total 2020E Equity Value (\$mn)              |                 |                |                 | \$2,029,402        |
| Discounted to one year forward               |                 |                |                 | \$1,853,335        |
| Total shares outstanding (mn)                |                 |                |                 | 514.9              |

Value per Amazon share

**\$3,600**

Source: Company Data, Evercore ISI Research

**Figure 4: Amazon Segment Revenue Summary**  
\$mns except per share data

|                                                             | FY2017           | FY2018         |                |                |                | FY2019           | FY2019         |                |                |                | FY2019           | FY2020         |                |                 |                 | FY2020            | FY2021            | FY2022            |
|-------------------------------------------------------------|------------------|----------------|----------------|----------------|----------------|------------------|----------------|----------------|----------------|----------------|------------------|----------------|----------------|-----------------|-----------------|-------------------|-------------------|-------------------|
| Fiscal Year Ended in December<br>(In \$millions except EPS) | FY2017<br>Dec-17 | 1Q18<br>Mar-18 | 2Q18<br>Jun-18 | 3Q18<br>Sep-18 | 4Q18<br>Dec-18 | FY2018<br>Dec-18 | 1Q19<br>Mar-19 | 2Q19<br>Jun-19 | 3Q19<br>Sep-19 | 4Q19<br>Dec-19 | FY2019<br>Dec-19 | 1Q20<br>Mar-20 | 2Q20<br>Jun-20 | 3Q20E<br>Sep-20 | 4Q20E<br>Dec-20 | FY2020E<br>Dec-20 | FY2021E<br>Dec-21 | FY2022E<br>Dec-22 |
| <b>GEOGRAPHIC DETAIL</b>                                    |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                   |                   |
| Total North America                                         | \$106,110        | \$30,725       | \$32,169       | \$34,348       | \$44,124       | \$141,366        | \$35,812       | \$38,653       | \$42,638       | \$53,670       | \$170,773        | \$46,127       | \$55,436       | \$57,561        | \$69,771        | \$228,895         | \$270,096         | \$310,611         |
| Total International                                         | 54,298           | 14,875         | 14,612         | 15,549         | 20,829         | 65,865           | 16,192         | 16,632         | 18,348         | 23,813         | 74,723           | 19,106         | 22,668         | 23,852          | 30,600          | 96,226            | 113,547           | 132,963           |
| AWS                                                         | 17,458           | 5,442          | 6,105          | 6,679          | 7,430          | 25,656           | 7,696          | 8,381          | 8,995          | 9,954          | 35,026           | 10,219         | 10,808         | 11,535          | 12,694          | 45,256            | 55,845            | 68,894            |
| Total Net Sales                                             | \$177,866        | \$51,042       | \$52,886       | \$56,576       | \$72,383       | \$232,887        | \$59,700       | \$63,404       | \$69,981       | \$87,437       | \$280,522        | \$75,452       | \$86,912       | \$92,948        | \$113,065       | \$370,377         | \$439,489         | \$512,468         |
| <b>YoY Growth</b>                                           |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                   |                   |
| Total North America                                         | 33.0%            | 46.4%          | 43.8%          | 35.0%          | 18.3%          | 33.2%            | 16.6%          | 20.2%          | 24.1%          | 21.6%          | 20.8%            | 28.8%          | 43.4%          | 35.0%           | 30.0%           | 34.0%             | 18.0%             | 15.0%             |
| Total International                                         | 23.4%            | 34.5%          | 27.2%          | 13.4%          | 15.5%          | 21.3%            | 8.9%           | 12.0%          | 18.0%          | 14.3%          | 13.4%            | 18.0%          | 38.5%          | 30.0%           | 28.5%           | 28.8%             | 18.0%             | 17.1%             |
| AWS                                                         | 42.9%            | 48.6%          | 48.9%          | 45.7%          | 45.3%          | 47.0%            | 41.4%          | 37.3%          | 34.7%          | 34.0%          | 36.5%            | 32.8%          | 29.0%          | 28.2%           | 27.5%           | 29.2%             | 23.4%             | 23.4%             |
| Total Net Sales                                             | 30.8%            | 42.9%          | 39.3%          | 29.3%          | 19.7%          | 30.9%            | 17.0%          | 19.9%          | 23.7%          | 20.8%          | 20.5%            | 26.4%          | 40.2%          | 32.8%           | 29.3%           | 32.0%             | 18.0%             | 16.6%             |
| <b>QoQ Growth</b>                                           |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                   |                   |
| Total North America                                         |                  | (17.6%)        | 4.7%           | 6.8%           | 28.5%          |                  | (18.8%)        | 7.9%           | 10.3%          | 25.9%          |                  | (14.1%)        | 20.2%          | 3.8%            | 21.2%           |                   |                   |                   |
| Total International                                         |                  | (17.5%)        | (1.8%)         | 6.4%           | 34.0%          |                  | (22.3%)        | 1.1%           | 12.1%          | 19.8%          |                  | (19.8%)        | 18.6%          | 5.2%            | 28.3%           |                   |                   |                   |
| AWS                                                         |                  | 6.4%           | 12.2%          | 9.4%           | 11.2%          |                  | 3.6%           | 8.9%           | 7.3%           | 10.7%          |                  | 2.7%           | 5.8%           | 6.7%            | 10.1%           |                   |                   |                   |
| Total Net Sales                                             |                  | (15.6%)        | 3.6%           | 7.0%           | 27.9%          |                  | (17.5%)        | 6.2%           | 10.4%          | 24.9%          |                  | (13.7%)        | 17.8%          | 4.5%            | 21.6%           |                   |                   |                   |
| <b>NEW CONSOLIDATED SEGMENT DETAIL</b>                      |                  |                |                |                |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                   |                   |
| Online Stores                                               | \$108,355        | \$26,939       | \$27,165       | \$29,061       | \$39,822       | \$122,987        | \$29,498       | \$31,053       | \$35,039       | \$45,657       | \$141,244        | \$36,652       | \$45,896       | \$47,587        | \$59,021        | \$189,156         | \$214,031         | \$234,016         |
| Physical Stores                                             | \$5,798          | \$4,263        | \$4,312        | \$4,248        | \$4,401        | \$17,224         | \$4,307        | \$4,330        | \$4,192        | \$4,363        | \$17,192         | \$4,840        | \$3,774        | \$4,192         | \$4,363         | \$16,969          | \$17,139          | \$17,310          |
| 1P Sales                                                    | \$114,153        | \$31,202       | \$31,477       | \$33,309       | \$44,223       | \$140,211        | \$33,805       | \$35,383       | \$39,231       | \$50,020       | \$158,436        | \$41,292       | \$49,670       | \$51,779        | \$63,384        | \$206,125         | \$231,170         | \$251,326         |
| 3P Seller Services                                          | \$31,880         | \$9,265        | \$9,702        | \$10,395       | \$13,383       | \$42,745         | \$11,141       | \$11,962       | \$13,212       | \$17,446       | \$53,761         | \$14,479       | \$18,195       | \$18,427        | \$23,985        | \$75,086          | \$96,110          | \$120,330         |
| Subscription services                                       | 9,722            | 3,102          | 3,408          | 3,698          | 3,959          | 14,167           | 4,342          | 4,676          | 4,957          | 5,235          | 19,210           | 5,556          | 6,018          | 6,098           | 6,163           | 23,835            | 28,184            | 32,034            |
| Retail related revenue                                      | \$155,755        | \$43,569       | \$44,587       | \$47,402       | \$61,565       | \$197,123        | \$49,288       | \$52,021       | \$57,400       | \$72,701       | \$231,407        | \$61,327       | \$73,883       | \$76,304        | \$93,532        | \$305,046         | \$355,465         | \$404,890         |
| AWS                                                         | \$17,458         | \$5,442        | \$6,105        | \$6,679        | \$7,430        | \$25,656         | \$7,696        | \$8,381        | \$8,995        | \$9,954        | \$35,026         | \$10,219       | \$10,808       | \$11,535        | \$12,694        | \$45,256          | \$55,845          | \$68,894          |
| Other (advertising & co-branded card, etc)                  | 4,653            | 2,031          | 2,194          | 2,49           |                |                  |                |                |                |                |                  |                |                |                 |                 |                   |                   |                   |

Source: Company Data, Evercore ISI Research

Figure 5: Amazon Income Statement Summary

\$mns except per share data

|                                                            | FY2017    | FY2018   |          |          |           | FY2018    | FY2019   |           |           |          | FY2019    | FY2020    |          |           |           | FY2020    | FY2021    | FY2022    |
|------------------------------------------------------------|-----------|----------|----------|----------|-----------|-----------|----------|-----------|-----------|----------|-----------|-----------|----------|-----------|-----------|-----------|-----------|-----------|
| Fiscal Year Ends in December<br>(in \$millions except EPS) | Dec-17    | 1Q18     | 2Q18     | 3Q18     | 4Q18      | Dec-18    | 1Q19     | 2Q19      | 3Q19      | 4Q19     | Dec-19    | 1Q20      | 2Q20     | 3Q20E     | 4Q20E     | 2020E     | 2021E     | 2022E     |
| Total net sales                                            | \$177,866 | \$51,042 | \$52,886 | \$56,576 | \$72,383  | \$232,887 | \$59,700 | \$63,404  | \$69,981  | \$87,437 | \$280,522 | \$75,452  | \$88,912 | \$92,948  | \$113,065 | \$370,377 | \$439,489 | \$512,468 |
| Y/Y Growth                                                 | 30.8%     | 42.9%    | 39.3%    | 29.3%    | 19.7%     | 30.9%     | 17.0%    | 19.9%     | 23.7%     | 20.8%    | 20.5%     | 26.4%     | 40.2%    | 32.8%     | 29.3%     | 32.0%     | 18.7%     | 16.6%     |
| Cost of sales (adj.)                                       | \$111,887 | \$30,720 | \$30,613 | \$32,984 | \$44,765  | \$139,082 | \$33,896 | \$36,294  | \$41,263  | \$53,934 | \$165,387 | \$44,216  | \$52,584 | \$54,840  | \$69,309  | \$220,948 | \$259,298 | \$297,231 |
| Gross Profit (adj.)                                        | \$65,979  | \$20,322 | \$22,273 | \$23,592 | \$27,618  | \$93,805  | \$25,804 | \$27,110  | \$28,718  | \$33,503 | \$115,135 | \$31,236  | \$36,328 | \$38,109  | \$43,756  | \$149,429 | \$180,190 | \$215,237 |
| Gross Margin %                                             | 37.1%     | 39.8%    | 42.1%    | 41.7%    | 38.2%     | 40.3%     | 43.2%    | 42.8%     | 41.0%     | 38.3%    | 41.0%     | 41.4%     | 40.9%    | 41.0%     | 38.7%     | 40.3%     | 41.0%     | 42.0%     |
| YoY bps change                                             | 198.9     | 262.4    | 387.0    | 464.8    | 180.8     | 318.4     | 340.9    | 64.2      | (66.3)    | 16.1     | 76.4      | (182.4)   | (189.9)  | (3.7)     | 38.3      | (69.8)    | 65.5      | 100.0     |
| Fulfillment (adj.)                                         | 24,339    | 7,548    | 7,612    | 8,006    | 9,741     | 32,907    | 8,367    | 8,911     | 9,866     | 11,906   | 39,050    | 11,271    | 13,389   | 14,493    | 16,352    | 55,505    | 64,327    | 74,496    |
| Marketing (adj.)                                           | 9,558     | 2,538    | 2,711    | 3,102    | 4,694     | 13,045    | 3,455    | 3,984     | 4,454     | 9,418    | 21,311    | 4,496     | 3,889    | 5,720     | 7,045     | 21,150    | 26,329    | 30,700    |
| Tech & Content (R&D; adj.)                                 | 20,314    | 6,128    | 6,459    | 6,443    | 6,919     | 25,949    | 7,252    | 7,988     | 8,234     | 5,165    | 28,639    | 8,364     | 8,967    | 10,792    | 9,780     | 37,904    | 45,018    | 52,226    |
| G&A (adj.)                                                 | 3,232     | 935      | 960      | 899      | 975       | 3,769     | 1,041    | 1,086     | 1,173     | 1,230    | 4,530     | 1,289     | 1,349    | 1,442     | 1,798     | 5,878     | 7,036     | 8,205     |
| Other operating expense (income)                           | 215       | 63       | 80       | 68       | 86        | 297       | (5)      | 86        | 55        | 65       | 201       | 70        | 290      | 46        | 57        | 463       | 264       | 256       |
| Stock Based Comp                                           | 4,214     | 1,183    | 1,468    | 1,350    | 1,417     | 5,418     | 1,274    | 1,971     | 1,779     | 1,840    | 6,864     | 1,757     | 2,601    | 2,363     | 2,379     | 9,100     | 10,108    | 11,787    |
| Total operating expenses                                   | \$61,872  | \$18,395 | \$19,290 | \$19,868 | \$23,832  | \$81,385  | \$21,384 | \$24,026  | \$25,561  | \$29,624 | \$100,595 | \$27,247  | \$30,485 | \$34,857  | \$37,412  | \$130,000 | \$153,081 | \$177,671 |
| Op Expenses as a % of Sales                                | 34.8%     | 36.0%    | 36.5%    | 35.1%    | 32.9%     | 34.9%     | 35.8%    | 37.9%     | 36.5%     | 33.9%    | 35.9%     | 36.1%     | 34.3%    | 37.5%     | 33.1%     | 35.1%     | 34.8%     | 34.7%     |
| Operating Income                                           | \$4,107   | \$1,927  | \$2,983  | \$3,724  | \$3,786   | \$12,420  | \$4,420  | \$3,084   | \$3,157   | \$3,879  | \$14,540  | \$3,989   | \$5,843  | \$3,252   | \$6,345   | \$19,429  | \$27,109  | \$37,566  |
| Op Margin                                                  | 2.3%      | 3.8%     | 5.6%     | 6.6%     | 5.2%      | 5.3%      | 7.4%     | 4.9%      | 4.5%      | 4.4%     | 5.2%      | 5.3%      | 6.6%     | 3.5%      | 5.6%      | 5.2%      | 6.2%      | 7.3%      |
| YoY bps change                                             | (77 bps)  | 96 bps   | 399 bps  | 579 bps  | 171 bps   | 302 bps   | 363 bps  | (78 bps)  | (207 bps) | (79 bps) | (15 bps)  | (212 bps) | 171 bps  | (101 bps) | 118 bps   | 6 bps     | 92 bps    | 116 bps   |
| QoQ bps change                                             |           | 26 bps   | 187 bps  | 94 bps   | (135 bps) |           | 217 bps  | (254 bps) | (35 bps)  | (8 bps)  |           | 10 bps    | 128 bps  | (307 bps) | 211 bps   |           |           |           |
| Interest income                                            | 203       | 80       | 94       | 117      | 150       | 441       | 183      | 215       | 224       | 211      | 833       | 202       | 135      | 200       | 200       | 737       | 737       | 737       |
| Interest expense                                           | (849)     | (330)    | (343)    | (358)    | (387)     | (1,418)   | (366)    | (383)     | (396)     | (455)    | (1,600)   | (402)     | (403)    | (330)     | (330)     | (1,465)   | (1,465)   | (1,465)   |
| Other income (expense), net                                | 346       | 239      | (129)    | (93)     | (199)     | (182)     | 164      | (27)      | (353)     | 418      | 202       | (406)     | 646      | 0         | 0         | 240       | 0         | 0         |
| Total non-operating income (exp)                           | (\$300)   | (\$11)   | (\$378)  | (\$334)  | (\$436)   | (\$1,159) | (\$19)   | (\$195)   | (\$525)   | \$174    | (\$565)   | (\$606)   | \$378    | (\$130)   | (\$130)   | (\$488)   | (\$728)   | (\$728)   |
| Pretax Income                                              | \$3,807   | \$1,916  | \$2,605  | \$3,390  | \$3,350   | \$11,261  | \$4,401  | \$2,889   | \$2,632   | \$4,053  | \$13,975  | \$3,383   | \$6,221  | \$3,122   | \$6,215   | \$18,941  | \$26,381  | \$36,838  |
| Provision for income taxes                                 | (770)     | (287)    | (74)     | (508)    | (327)     | (1,196)   | (836)    | (257)     | (494)     | (786)    | (2,373)   | (744)     | (984)    | (624)     | (1,243)   | (3,595)   | (5,008)   | (6,993)   |
| Tax %                                                      | (20.2%)   | (15.0%)  | (2.8%)   | (15.0%)  | (9.8%)    | (10.6%)   | (19.0%)  | (8.9%)    | (18.8%)   | (19.4%)  | (17.0%)   | (22.0%)   | (15.8%)  | (20.0%)   | (20.0%)   | (19.0%)   | (19.0%)   | (19.0%)   |
| Equity Income                                              | (4)       | 0        | 3        | 1        | 4         | 8         | (4)      | (7)       | (4)       | 1        | (14)      | (104)     | 6        | 0         | 0         | (98)      | (98)      | (98)      |
| Net income (loss)                                          | \$3,033   | \$1,629  | \$2,534  | \$2,883  | \$3,027   | \$10,073  | \$3,561  | \$2,625   | \$2,134   | \$3,268  | \$11,588  | \$2,535   | \$5,243  | \$2,498   | \$4,972   | \$15,247  | \$21,275  | \$29,747  |
| Diluted EPS                                                | \$6.15    | \$3.27   | \$5.07   | \$5.75   | \$6.04    | \$20.15   | \$7.09   | \$5.22    | \$4.23    | \$6.47   | \$23.02   | \$5.01    | \$10.30  | \$4.89    | \$9.69    | \$29.91   | \$41.32   | \$57.20   |
| Y/Y Growth                                                 | 26%       | 121%     | 1166%    | 1010%    | 61%       | 227%      | 117%     | 3%        | (26%)     | 7%       | 14%       | (29%)     | 97%      | 15%       | 50%       | 30%       | 38%       | 38%       |
| Diluted Sh Outstanding                                     | 493       | 498      | 500      | 501      | 501       | 500       | 502      | 503       | 504       | 505      | 504       | 506       | 509      | 511       | 513       | 510       | 515       | 520       |
| Q/Q Growth                                                 | 1.9%      | 0.4%     | 0.4%     | 0.2%     | 0.0%      | 1.4%      | 0.2%     | 0.2%      | 0.2%      | 0.2%     | 0.7%      | 0.2%      | 0.6%     | 0.4%      | 0.4%      | 1.2%      | 1.0%      | 1.0%      |
| GAAP EBITDA (OI+D&A)                                       | \$15,585  | \$5,598  | \$6,613  | \$7,502  | \$8,048   | \$27,761  | \$9,274  | \$8,286   | \$8,720   | \$10,049 | \$36,329  | \$9,351   | \$11,591 | \$9,339   | \$13,192  | \$43,474  | \$56,081  | \$76,473  |
| Margin                                                     | 13.9%     | 18.2%    | 21.6%    | 22.7%    | 18.0%     | 20.0%     | 27.4%    | 22.8%     | 21.1%     | 18.6%    | 22.0%     | 21.1%     | 22.0%    | 17.0%     | 19.0%     | 19.7%     | 21.6%     | 25.7%     |
| Y/Y Growth                                                 | 26.7%     | 62.7%    | 102.8%   | 130.2%   | 43.1%     | 78.1%     | 65.7%    | 25.3%     | 16.2%     | 24.9%    | 30.9%     | 0.8%      | 39.9%    | 7.1%      | 31.3%     | 19.7%     | 29.0%     | 36.4%     |
| YoY Growth                                                 |           |          |          |          |           |           |          |           |           |          |           |           |          |           |           |           |           |           |
| Total net sales                                            | 30.8%     | 42.9%    | 39.3%    | 29.3%    | 19.7%     | 30.9%     | 17.0%    | 19.9%     | 23.7%     | 20.8%    | 20.5%     | 26.4%     | 40.2%    | 32.8%     | 29.3%     | 32.0%     | 18.7%     | 16.6%     |
| Gross Profit (adj.)                                        | 38.2%     | 53.0%    | 53.4%    | 45.6%    | 25.7%     | 42.2%     | 27.0%    | 21.7%     | 21.7%     | 21.3%    | 22.7%     | 21.1%     | 34.0%    | 32.7%     | 30.6%     | 29.8%     | 20.6%     | 19.4%     |
| Fulfillment (adj.)                                         | 43.5%     | 66.5%    | 55.4%    | 29.3%    | 11.7%     | 35.2%     | 10.9%    | 17.1%     | 23.2%     | 22.2%    | 18.7%     | 34.7%     | 50.3%    | 46.9%     | 37.3%     | 42.1%     | 15.9%     | 15.8%     |
| Marketing (adj.)                                           | 38.3%     | 39.0%    | 29.3%    | 32.3%    | 42.6%     | 36.5%     | 36.1%    | 47.0%     | 43.6%     | 100.6%   | 63.4%     | 30.1%     | (2.4%)   | 28.4%     | (25.2%)   | (0.8%)    | 24.5%     | 16.6%     |
| Tech & Content (R&D; adj.)                                 | 40.8%     | 40.2%    | 31.4%    | 20.5%    | 21.9%     | 27.7%     | 18.3%    | 23.7%     | 27.8%     | (25.4%)  | 10.4%     | 15.3%     | 12.3%    | 31.1%     | 89.4%     | 32.4%     | 18.8%     | 16.0%     |
| G&A (adj.)                                                 | 52.7%     | 31.9%    | 27.2%    | 6.0%     | 6.0%      | 16.6%     | 11.3%    | 13.1%     | 30.5%     | 26.2%    | 20.2%     | 23.8%     | 24.2%    | 22.9%     | 46.2%     | 29.8%     | 19.7%     | 16.6%     |
| Stock Based Comp                                           | 41.6%     | 49.4%    | 26.8%    | 24.4%    | 20.2%     | 28.6%     | 7.7%     | 34.3%     | 31.8%     | 29.9%    | 26.7%     | 37.9%     | 32.0%    | 32.8%     | 29.3%     | 32.6%     | 11.1%     | 16.6%     |

Source: Company Data, Evercore ISI Research

Figure 6: Amazon Balance Sheet

\$mns except per share data

|                                                            | FY2016           | FY2017           | FY2018           | FY2019           | FY2020           | FY2021           | FY2022           |
|------------------------------------------------------------|------------------|------------------|------------------|------------------|------------------|------------------|------------------|
| Fiscal Year Ends in December<br>(in \$millions except EPS) | FY2016<br>Dec-16 | FY2017<br>Dec-17 | FY2018<br>Dec-18 | FY2019<br>Dec-19 | 2020E<br>Dec-20  | 2021E<br>Dec-21  | 2022E<br>Dec-22  |
| <b>BALANCE SHEET</b>                                       |                  |                  |                  |                  |                  |                  |                  |
| <b>ASSETS</b>                                              |                  |                  |                  |                  |                  |                  |                  |
| <b>Current Assets:</b>                                     |                  |                  |                  |                  |                  |                  |                  |
| Cash & Equivalents                                         | \$19,334         | \$20,522         | \$31,750         | \$36,092         | \$37,746         | \$67,590         | \$111,486        |
| Marketable Securities                                      | 6,647            | 10,464           | 9,500            | \$18,929         | \$33,925         | \$3,925          | \$3,925          |
| <b>Cash &amp; Equivalents</b>                              | <b>\$25,981</b>  | <b>\$30,986</b>  | <b>\$41,250</b>  | <b>\$55,021</b>  | <b>\$71,671</b>  | <b>\$71,515</b>  | <b>\$115,411</b> |
| Inventories                                                | 11,461           | 16,047           | 17,174           | 20,497           | 27,724           | 31,116           | 35,668           |
| A/R and other                                              | 8,339            | 13,164           | 16,677           | 20,816           | 26,050           | 31,331           | 36,533           |
| Total Current assets                                       | \$45,781         | \$60,197         | \$75,101         | \$96,334         | \$125,444        | \$163,961        | \$217,612        |
| P&E net                                                    | 29,114           | 48,866           | 61,797           | 72,705           | 102,398          | 113,626          | 120,056          |
| Operating leases                                           |                  |                  |                  | 25,141           | 28,537           | 28,537           | 28,537           |
| Goodwill                                                   | 3,784            | 13,350           | 14,548           | 14,754           | 14,751           | 14,751           | 14,751           |
| Other Assets                                               | 4,723            | 8,897            | 11,202           | 16,314           | 17,601           | 17,601           | 17,601           |
| <b>Total Assets</b>                                        | <b>\$83,402</b>  | <b>\$131,310</b> | <b>\$162,648</b> | <b>\$225,248</b> | <b>\$288,731</b> | <b>\$338,476</b> | <b>\$398,556</b> |
| <b>Liabilities and Shareholders Equity:</b>                |                  |                  |                  |                  |                  |                  |                  |
| <b>Current Liabilities</b>                                 |                  |                  |                  |                  |                  |                  |                  |
| A/P                                                        | \$25,309         | \$34,616         | \$38,192         | \$47,183         | \$62,378         | \$72,604         | \$83,225         |
| Accrued expenses and other                                 | 13,739           | 18,170           | 23,663           | 32,439           | 39,487           | 45,574           | 51,533           |
| Unearned revenue                                           | 4,768            | 5,097            | 6,536            | 8,190            | 10,238           | 12,285           | 14,251           |
| Total Current liabilities                                  | \$43,816         | \$57,883         | \$68,391         | \$87,812         | \$112,102        | \$130,462        | \$149,009        |
| LT lease liabilities                                       |                  |                  |                  | 39,791           | 42,798           | 42,798           | 42,798           |
| LT debt                                                    | 7,694            | 24,743           | 23,495           | 23,414           | 33,128           | 33,128           | 33,128           |
| Other LT liabilities                                       | 12,607           | 20,975           | 27,213           | 12,171           | 14,764           | 14,764           | 14,764           |
| Commitments and Contingencies                              |                  |                  |                  |                  |                  |                  |                  |
| Shareholders equity:                                       |                  |                  |                  |                  |                  |                  |                  |
| Common stock                                               | \$5              | \$5              | \$5              | \$5              | \$5              | \$5              | \$5              |
| Treasury stock at cost                                     | (1,837)          | (1,837)          | (1,837)          | (1,837)          | (1,837)          | (1,837)          | (1,837)          |
| Additional paid-in capital                                 | 17,186           | 21,389           | 26,791           | 33,658           | 38,017           | 38,017           | 38,017           |
| Accumulated other comprehensive loss                       | (985)            | (484)            | (1,035)          | (986)            | (1,455)          | (1,455)          | (1,455)          |
| Retained earnings/Accumulated deficit                      | 4,916            | 8,636            | 19,625           | 31,220           | 51,209           | 82,593           | 124,127          |
| Total shareholders equity                                  | \$19,285         | \$27,709         | \$43,549         | \$62,060         | \$85,939         | \$117,323        | \$158,857        |
| <b>Total Liabilities and shareholders equity</b>           | <b>\$83,402</b>  | <b>\$131,310</b> | <b>\$162,648</b> | <b>\$225,248</b> | <b>\$288,731</b> | <b>\$338,476</b> | <b>\$398,556</b> |

Source: Company Data, Evercore ISI Research

Figure 7: Amazon Cash Flow Statement

\$mns except per share data

|                                                                     | FY2016           | FY2017            | FY2018            | FY2019            | FY2020            | FY2021            | FY2022            |
|---------------------------------------------------------------------|------------------|-------------------|-------------------|-------------------|-------------------|-------------------|-------------------|
| Fiscal Year Ends in December<br>(in \$millions except EPS)          | FY2016<br>Dec-16 | FY2017<br>Dec-17  | FY2018<br>Dec-18  | FY2019<br>Dec-19  | 2020E<br>Dec-20   | 2021E<br>Dec-21   | 2022E<br>Dec-22   |
| <b>Cash Flow Statement</b>                                          |                  |                   |                   |                   |                   |                   |                   |
| <b>Cash and equivalents, bop</b>                                    | <b>\$15,913</b>  | <b>\$19,290</b>   | <b>\$21,856</b>   | <b>\$32,173</b>   | <b>\$36,410</b>   | <b>\$38,122</b>   | <b>\$67,966</b>   |
| Operating Activities                                                |                  |                   |                   |                   |                   |                   |                   |
| <b>Net income</b>                                                   | <b>\$2,371</b>   | <b>\$3,033</b>    | <b>\$10,073</b>   | <b>\$11,588</b>   | <b>\$15,247</b>   | <b>\$21,275</b>   | <b>\$29,747</b>   |
| YoY Growth                                                          | 298%             | 28%               | 232%              | 15%               | 32%               | 40%               | 40%               |
| Changes to operating activities                                     |                  |                   |                   |                   |                   |                   |                   |
| Depreciation of P&E, other amortization                             | \$8,117          | \$11,478          | \$15,341          | \$21,789          | \$24,045          | \$28,972          | \$38,907          |
| Stock based comp                                                    | 2,975            | 4,214             | 5,417             | 6,864             | 9,100             | 10,108            | 11,787            |
| Other operating expense (income)                                    | 158              | 200               | 275               | 164               | 349               | 0                 | 0                 |
| Other expense (income), net                                         | (23)             | (293)             | 219               | (248)             | (447)             | 0                 | 0                 |
| Deferred income taxes                                               | (246)            | (28)              | 441               | 797               | 465               | 0                 | 0                 |
| Cum effect of change in acc principle                               |                  |                   |                   |                   |                   |                   |                   |
| Changes in operating assets and liabilities                         |                  |                   |                   |                   |                   |                   |                   |
| Inventories                                                         | (\$1,426)        | (\$3,584)         | (\$1,314)         | (\$3,278)         | (\$7,405)         | (\$3,392)         | (\$4,552)         |
| A/R and other                                                       | (3,367)          | (4,780)           | (4,614)           | (7,681)           | (7,724)           | (5,281)           | (5,203)           |
| A/P and other                                                       | 5,030            | 7,101             | 3,263             | 8,193             | 11,914            | 10,226            | 10,621            |
| Accrued expenses and other                                          | 1,724            | 284               | 472               | (1,383)           | 4,562             | 6,087             | 5,960             |
| Additions to unearned revenue                                       | 11,931           | 10,999            | 1,151             | 1,710             | 2,095             | 2,048             | 1,966             |
| Amortization of previously unearned rev                             | (9,976)          | (10,259)          | 0                 | 0                 | 0                 | 0                 | 0                 |
| <b>CFO</b>                                                          | <b>\$17,204</b>  | <b>\$18,365</b>   | <b>\$30,726</b>   | <b>\$38,515</b>   | <b>\$52,766</b>   | <b>\$70,043</b>   | <b>\$89,233</b>   |
| YoY Growth                                                          | 43%              | 7%                | 67%               | 25%               | 37%               | 33%               | 27%               |
| <b>Investing activities</b>                                         |                  |                   |                   |                   |                   |                   |                   |
| Purchases of P&E                                                    | (\$6,736)        | (\$11,954)        | (\$13,426)        | (\$16,861)        | (\$30,735)        | (\$26,369)        | (\$30,748)        |
| Proceeds from property and equipment incentives                     |                  | 1,897             | 2,104             | 4,171             | 2,211             |                   |                   |
| Acquisitions, net of cash                                           | (117)            | (13,972)          | (2,186)           | (2,461)           | (209)             | 0                 | 0                 |
| Sales and maturities of marketable securities                       | 4,733            | 9,677             | 8,239             | 22,681            | 19,764            | 0                 | 0                 |
| Purchases of mktbl sec and other                                    | (7,756)          | (12,731)          | (7,100)           | (31,812)          | (34,210)          | 0                 | 0                 |
| <b>CFI</b>                                                          | <b>(\$9,876)</b> | <b>(\$27,063)</b> | <b>(\$12,369)</b> | <b>(\$24,282)</b> | <b>(\$43,179)</b> | <b>(\$26,369)</b> | <b>(\$30,748)</b> |
| <b>Financing activities</b>                                         |                  |                   |                   |                   |                   |                   |                   |
| Proceeds from exercises of stock options                            | \$0              | \$0               | \$0               | \$0               | \$0               | \$0               | \$0               |
| Excess tax benefits from SBC                                        | 829              | 0                 | 0                 | 0                 | 0                 | 0                 | 0                 |
| Common stock repurchased                                            | 0                | 0                 | 0                 | 0                 | 0                 | 0                 | 0                 |
| Proceeds from LT debt and other                                     | 620              | 14,393            | 636               | 1,571             | 10,933            | 0                 | 0                 |
| Repayments of LT debt, capital lease, and finance lease obligations | (4,360)          | (4,462)           | (8,323)           | (11,637)          | (18,451)          | (13,830)          | (14,589)          |
| <b>CFD</b>                                                          | <b>(\$3,740)</b> | <b>\$9,931</b>    | <b>(\$7,687)</b>  | <b>(\$10,066)</b> | <b>(\$7,518)</b>  | <b>(\$13,830)</b> | <b>(\$14,589)</b> |
| FX effect                                                           | (211)            | 710               | (351)             | 70                | (357)             | 0                 | 0                 |
| Net inc (dec) in cash and equivalents                               | 3,377            | 1,923             | 10,319            | 4,237             | 1,712             | 29,844            | 43,896            |
| <b>Supplemental CF information</b>                                  |                  |                   |                   |                   |                   |                   |                   |
| CapEx as % of Sales                                                 | 5.0%             | 6.7%              | 5.8%              | 6.0%              | 8.3%              | 6.0%              | 6.0%              |
| CapEx YoY Growth                                                    | 46.8%            | 77.5%             | 12.3%             | 25.6%             | 82.3%             | (14.2%)           | 16.6%             |
| CapEx + Total Leases as a % of Sales                                | 9.1%             | 14.1%             | 11.9%             | 11.3%             | 13.3%             | 9.1%              | 8.8%              |
| CapEx + Capital Leases as a % of Sales                              | 9.1%             | 12.1%             | 10.3%             | 10.9%             | 13.1%             | 9.1%              | 8.8%              |
| P&E Acquired Under Capital Leases                                   | 5,704            | 9,638             | 10,614            | 13,723            | 17,656            | 13,830            | 14,589            |
| P&E Acquired Under Build-to-Suit Leases                             |                  |                   |                   |                   |                   |                   |                   |
| CapEx + Total Leases                                                | 12,440           | 25,132            | 27,681            | 31,838            | 49,252            | 40,199            | 45,337            |
| CapEx + Capital Leases                                              | 12,440           | 21,592            | 24,040            | 30,584            | 48,391            | 40,199            | 45,337            |
| YoY Growth                                                          | 33.7%            | 73.6%             | 11.3%             | 27.2%             | 58.2%             | (16.9%)           | 12.8%             |
| as % of sales                                                       | 9.1%             | 12.1%             | 10.3%             | 10.9%             | 13.1%             | 9.1%              | 8.8%              |
| Principal repayments of capital lease obligations                   | (3,860)          | (4,797)           | (7,452)           | (9,628)           | (17,485)          | (13,373)          | (14,132)          |
| Cash paid for interest on finance leases / financing obligations    | (147)            | (199)             | (337)             | (170)             | (457)             | (457)             | (457)             |
| <b>Total Principal Repayments</b>                                   | <b>(4,007)</b>   | <b>(4,996)</b>    | <b>(7,789)</b>    | <b>(9,798)</b>    | <b>(17,942)</b>   | <b>(13,830)</b>   | <b>(14,589)</b>   |
| P&E Acquired Under Capital Leases as % of CAPEX                     | 84.7%            | 80.6%             | 79.1%             | 81.4%             | 57.4%             | 52.4%             | 47.4%             |
| <b>FCF</b>                                                          | <b>\$10,468</b>  | <b>\$8,308</b>    | <b>\$19,404</b>   | <b>\$25,825</b>   | <b>\$24,242</b>   | <b>\$43,674</b>   | <b>\$58,485</b>   |
| YoY Growth                                                          | 41%              | (21%)             | 134%              | 33%               | (6%)              | 80%               | 34%               |
| <b>FCF less principal repayments</b>                                | <b>\$6,461</b>   | <b>\$3,312</b>    | <b>\$11,615</b>   | <b>\$16,027</b>   | <b>\$6,596</b>    | <b>\$29,844</b>   | <b>\$43,896</b>   |
| YoY Growth                                                          | 33%              | (49%)             | 251%              | 38%               | (59%)             | 352%              | 47%               |
| <b>FCF less financial lease principal repay and assets under CL</b> | <b>\$4,617</b>   | <b>(\$1,529)</b>  | <b>\$8,453</b>    | <b>\$11,932</b>   | <b>\$6,129</b>    | <b>\$29,387</b>   | <b>\$43,440</b>   |
| YoY Growth                                                          | 77%              | (133%)            | (633%)            | 41%               | (49%)             | 379%              | 48%               |

Source: Company Data, Evercore ISI Research

## VALUATION METHODOLOGY

Our SOTP frameworks apply independent 20210 EBITDA multiples to Amazon's North America, AWS, and International businesses, as well as Gross Profit multiples to Amazon's 1P e-commerce business, its 3P marketplace, its subscription services business, and the Other/advertising business. We arrive at our target multiples by comparing Amazon's business lines to a set of companies both in their current form, as well as past historical periods when these companies' businesses resembled Amazon currently.

## RISKS

- 1.) Government regulation across Amazon's business lines in both the US and abroad that either subdues profitability or limits Amazon's ability to take market share.
- 2.) Vertical specific backlash aimed at AWS in an industry attempt to "not fund the competition".
- 3.) Large-scale data breach at AWS that diminishes customer trust and thus makes it difficult to better attack data sensitive verticals like Financial Services and Government.
- 4.) With still somewhat limited profitability, AMZN valuation remains rich based on near-term metrics and thus creates downside risk in the event of a market downturn.

## COMPANIES UNDER COVERAGE BY AUTHOR

| Symbol | Company                  | Rating     | Price<br>(2020-30-07) | Evercore ISI<br>Target |
|--------|--------------------------|------------|-----------------------|------------------------|
| AMZN   | Amazon.com, Inc.         | Outperform | \$3073.28             | \$3600.00              |
| BKNG   | Booking Holdings Inc.    | In Line    | \$1690.33             | \$1850.00              |
| EBAY   | eBay Inc.                | In Line    | \$54.86               | \$49.00                |
| EXPE   | Expedia Group            | In Line    | \$85.00               | \$85.00                |
| NFLX   | Netflix, Inc.            | In Line    | \$485.87              | \$375.00               |
| PTON   | Peloton Interactive, Inc | Outperform | \$65.41               | \$62.00                |
| TRIP   | TripAdvisor, Inc.        | In Line    | \$21.02               | \$20.00                |
| YELP   | Yelp, Inc.               | In Line    | \$24.94               | \$21.00                |



## TIMESTAMP

(Article 3(1)e and Article 7 of MAR)

Time of dissemination: July 31 2020 02:58 AM ET

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### Current Ratings Definition

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**Outperform-** the total forecasted return is expected to be greater than the expected total return of the analyst's coverage universe

**In Line-** the total forecasted return is expected to be in line with the expected total return of the analyst's universe

**Underperform-** the total forecasted return is expected to be less than the expected total return of the analyst's universe

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### Historical Ratings Definitions

Prior to March 2, 2017, Evercore ISI's recommendations were based on a stock's total forecasted return over the next 12 months:



**Buy-** the total forecasted return is expected to be greater than 10%

**Hold-** the total forecasted return is expected to be greater than or equal to 0% and less than or equal to 10%

**Sell-** the total forecasted return is expected to be less than 0%

On October 31, 2014, Evercore acquired International Strategy & Investment Group LLC ("ISI Group") and ISI UK (the "Acquisition") and transferred Evercore Group's research, sales and trading businesses to ISI Group. On December 31, 2015, the combined research, sales and trading businesses were transferred back to Evercore Group in an internal reorganization. Since the Acquisition, the combined research, sales and trading businesses have operated under the global marketing brand name Evercore ISI.

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Prior to October 10, 2014, the ratings system of ISI Group and ISI UK which was based on a 12-month risk adjusted total return:

Strong Buy- Return > 20%

Buy- Return 10% to 20%

Neutral - Return 0% to 10%

Cautious- Return -10% to 0%

Sell- Return < -10%

For disclosure purposes, ISI Group and ISI UK ratings were viewed as follows: Strong Buy and Buy equate to Buy, Neutral equates to Hold, and Cautious and Sell equate to Sell.

#### Evercore Group:

Prior to October 10, 2014, the rating system of Evercore Group was based on a stock's expected total return relative to the analyst's coverage universe over the following 12 months. Stocks under coverage were divided into three categories:

Overweight- the stock is expected to outperform the average total return of the analyst's coverage universe over the next 12 months.

Equal-Weight- the stock is expected to perform in line with the average total return of the analyst's coverage universe over the next 12 months.

Underweight- the stock is expected to underperform the average total return of the analyst's coverage universe over the next 12 months.

Suspended- the company rating, target price and earnings estimates have been temporarily suspended.

For disclosure purposes, Evercore Group's prior "Overweight," "Equal-Weight" and "Underweight" ratings were viewed as "Buy," "Hold" and "Sell," respectively.

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**Short-** the stock is a negative holding in the model portfolio; the total forecasted return is expected to be less than 0%.

**No Position-** the stock is not included in the model portfolio.

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Stocks included in the model portfolio will be weighted from 0 to 100% for Long and 0 to -100% for Short. A stock's weight in the portfolio reflects the analyst's degree of conviction in the stock's rating relative to other stocks in the portfolio. The model portfolio may also include a cash component. At any given time the aggregate weight of the stocks included in the portfolio and the cash component must equal 100%.

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#### Evercore ISI rating (as of 07/31/2020)

| Coverage Universe  |       |      | Investment Banking Services I Past 12 Months |       |      |
|--------------------|-------|------|----------------------------------------------|-------|------|
| Ratings            | Count | Pct. | Ratings                                      | Count | Pct. |
| Buy                | 377   | 49   | Buy                                          | 110   | 29   |
| Hold               | 308   | 40   | Hold                                         | 49    | 16   |
| Sell               | 48    | 6    | Sell                                         | 4     | 8    |
| Coverage Suspended | 22    | 3    | Coverage Suspended                           | 6     | 27   |
| Rating Suspended   | 13    | 2    | Rating Suspended                             | 3     | 23   |

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### Price Charts



### Ratings Key

|   |      |    |              |    |             |    |                    |
|---|------|----|--------------|----|-------------|----|--------------------|
| B | Buy  | OP | Outperform   | L  | Long        | CS | Coverage Suspended |
| H | Hold | IL | In Line      | NP | No Position | RS | Rating Suspended   |
| S | Sell | UP | Underperform | S  | Short       |    |                    |

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